India's insurance landscape has evolved significantly, yet a stark urban-rural divide persists.
While urban areas benefit from greater access and awareness, rural communities remain underinsured due to various constraints.
Bridging this gap demands inclusive insurance penetration, driven by financial literacy, technological innovation, and strong public-private collaborations.

03

THE GREAT INSURANCE DIVIDE: INDIA'S UNTAPPED POTENTIAL

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Insurance has deep historical roots in India, with texts like the *Manusmriti, Dharmashastra*, and *Arthashastra* describing it as a system of 'pooling of resources' to mitigate crises. This early concept highlights the enduring role of collective financial risk management in fostering economic resilience. Simply put, insurance is a contract represented by a policy, in which a policyholder receives financial protection or reimbursement against losses from an insurance company (Kagan, 2024). Over time, India's approach towards Insurance has evolved, majorly owing to Western influence. For instance, Triton Insurance Company, established by the British in Calcutta in 1850 was the first company in the Indian subcontinent to transact all classes of general insurance business. Following this, the 19th century saw a surge in insurance firms, though the market remained dominated by foreign players.



In response to concerns over high competition and unfair trade practices, the Indian Government Post-independence in 1950 decided to nationalise the insurance sector. This resulted in the inception of the Life Insurance Corporation (LIC). The LIC had a monopoly till the late 1990s, when the insurance sector was reopened to the private sector.



Source: Unknown via Pinterest

Currently, there are 34 general insurance companies including the Export Credit Guarantee Corporation (ECGC) and Agriculture Insurance Corporation of India Limited (AICIL) and 24 life insurance companies operating in the country. The most common kinds of insurance policies are automobiles, health, homeowners, and life insurance, protecting against various mishaps ranging from accidents to death. The insurance sector is colossal and is growing at a speedy rate of 15-20%. Banking services and insurance services together add about 7% to the country's GDP (IRDAI, 2021). A well-developed and evolved insurance sector is a boon for economic development as it provides long-term funds for infrastructure development at the same time strengthening the risk taking ability of the country.

According to the Acko India Health Insurance Index 2024, the healthcare costs in India are increasing at an annual rate of 14% (Onsurity, 2024).

With rising costs and a growing middle class, the demand for insurance is at an all-time high. Insurance coverage is fundamental in reducing the financial strain borne by both the patient and their families, irrespective of their financial situation. Additionally, greater awareness of the need for insurance coverage following the pandemic, and supportive regulations have combined to evidence potential for rapid growth and profitability for the industry.

However, despite significant GDP growth in India, there exists a wide disparity between urban and rural regions in terms of insurance awareness and penetration levels. This divide is evident with urban middle-class individuals having ready access to insurance, while rural areas suffer from inequalities.

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Socio-Economic Conditions and Regional Disparities

Inequality in India has been on a steady rise since the 2000s, and, according to Time magazine-India's current income inequality is worse than under British rule (Time, 2024). As the country aims to become a 5 trillion economy and achieve the goal of "Viksit Bharat" by 2047, difficulties persist in eradicating regional disparities. For instance, the Ministry of Electronics and Information Technology has been working on a comprehensive policy framework to offer new incentives to GCCs[1], with the aim of expansion

[1] Global Capability Centres (GCC) are an offshore or nearshore entity fully owned and operated by a parent company.

into smaller towns and cities, thus reducing regional disparity. However, GCCs have had a significant impact only in the southern states of India. About 90% of rural households, for instance, lacked health insurance in 2021, underscoring the glaring disparity in access and benefits (Ambade et al., 2023). In this situation, the failure of the government's application of trickle-down economics makes inequality and poverty in rural areas worse.



Source: Unknown via Pinterest

Additionally in India, only two out of five households had at least one person insured, and there was wide regional variance, highlighting the need for rapid insurance coverage rate. National health plans covered about 15.5% of the population, state health plans covered 47.1%, employer-sponsored health plans covered 13.2%, private health insurance covered 3.3%, and other health insurance plans covered 25.6% (Ambade et al., 2023). Rural communities continue to be underinsured because of limited access to inexpensive policies, awareness, and infrastructure, while wealthy individuals and metropolitan cities enjoy tax cuts and insurance subsidies.

In India, insurance awareness and penetration remain low at the rural level for a variety of reasons, with the biggest one being a lack of trust in private party insurers. There exists a traditional pro-LIC mindset among customers as they trust the public sector over the private sector.

Rural populations do not generally opt for insurance unless they are forced by law or if they could be used as collateral to borrow funds from the local bank. A study by Biswas & Lahiri (2021), shows that Internet access has a positive effect on insurance awareness. This effect is better seen in urban areas because education is still a critical barrier in leveraging benefits for insurance adoption in rural areas.

> In the modern world, instead of using high-tech, concrete-based engineering solutions to defend against the fluctuations of the climate crisis, landscape architect Kong Jian Yu, who pioneered sponge cities, decided to let nature do its work.

Policy and Barriers to Insurance in Rural Areas

Recent amendments to the Insurance Laws Bill increased the upper limit of foreign investment from 26% to 49% in 2021. The systematic problem of underinsurance, especially in rural regions, is one of the main issues that the amendments aim to address. In India, life insurance penetration contributes 3.2% and non-life insurance contributes approximately 1%, while countries like the USA and Taiwan sit at the top with insurance penetration of 11.6% and 11.4%, respectively (IBEF, 2024). These statistics clearly indicate that India is lacking in the insurance sector, particularly in the non-life insurance category[2], due to many reasons.

[2] Vehicle Insurance.

Low insurance penetration and the need for revisions are expected to attract new participants, encouraging foreign investment and fostering cost-effective, region-specific solutions. This would improve coverage in underfunded rural areas and guarantee a more equitable distribution of insurance services between urban and rural residents. However, in order to make sure that these reforms result in significant gains for India's marginalised communities, attention must also be paid to financial literacy, distribution networks, and reasonably priced product offers.

The insurance industry has been globally acknowledged as a key stakeholder in restoring financial stability during uncertain times, and given the sheer size of its investment in the economy[3], the industry plays an important part as a stabiliser of market sentiments during a crisis. The industry is expected to grow at higher rates over the next decade, fielded by easing of regulatory policies, fast paced digitisation efforts and increased awareness among customers. Despite the positive trends, the protection gap in India continues to widen. Private insurance companies offer numerous advantages, such as tailored and innovative products designed specifically for agricultural and rural needs, the integration of advanced technologies like satellite data and digital tools, enhanced competition that drives greater efficiency and service quality, and the introduction of innovative distribution methods.

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Private players and the government therefore need to work together to improve financial inclusion. For instance, the Rashtriya Swasthya Bima Yojana (RSBY) was a national health insurance scheme for below-poverty-line Indian families, to provide improved access to hospitalisation and greater financial protection via a public-private-partnership employing private sector implementation capacity (Khetrapal, et. al, 2019). In the five years after RSBY was introduced, the scheme provided health insurance to around 15% of the population, covering 110 million people (Fan, 2013). Over the years, companies have been adopting various measures such as simplification of policy working, standardisation of terminology, and seamless customer service that have led to a possible improvement of customer experience. Star Health Insurance and HDFC Ergo Health Insurance are some of the private insurance companies that offer health insurance policies specifically designed for the rural populace (PolicyX, n.d.).

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Furthermore, the IRDAI's Bima Vahak initiative aims to support women entrepreneurs in remote areas of the country to create awareness and build customers' trust in insurance products. Bima Vistaar, a committee to develop an affordable, accessible, and comprehensive cover for the rural population on a benefit based/parametric structure, is another attempt by the IRDAI to drive rural inclusion. Similarly, in order to handle the unique challenges that a rural context brings in, it is expected that

[3] The insurance market in India is expected to reach 222 billion USD by 2026 (IBEF, 2024).

carriers will increasingly adopt technology solutions with time. For instance, use of drones and image recognition in crop insurance, AI-led risk assessment for health and life insurance underwriting, digital self-service journeys for claims intimation and processing are some ways to help drive low-cost, automated operations and customised offerings in rural markets. Leveraging technology and digital solutions will be integral for making inroads in the rural insurance market in the coming years (PwC, n.d.). Simultaneously, the presence of an implementing (or a nodal) agency such as community organisations, women's groups, NGOs, microfinance institutions, etc is crucial in lowering transaction costs and thereby extending insurance in a cost-effective manner (Ahuja, 2005).

According to PWC, insurance is now considered as a necessary risk mitigation tool, and not just the lack of insurance coverage in an already massively digitised world, fraught with cyberattacks, climate change, and a growing number of intangible assets, often leads to incalculable losses. To build a strong, future-proof ecosystem that endures in a dynamic landscape, companies could focus on four themes: boosting their growth trajectory, enhancing profitability, sustaining valuation, and driving innovation. Doing so could help build greater resilience, create additional value, and contribute to the nation's economic growth (McKinsey & Company, 2024). This could simultaneously assist in working toward the goal of providing universal access, especially in rural areas, which can enhance livelihood, lessen exposure to risk and strive towards the transition to a better and stronger nation. Bridging this divide requires a coordinated effort from all stakeholders, ensuring that insurance becomes a reality for all, not just a privilege for the few.

Bridging this divide requires a coordinated effort from all stakeholders, ensuring that insurance becomes a reality for all, not just a privilege for the few.

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